

buy price, but as a long-term holding, I didn't place it. I did note that "Weekly scale: Stair-step rise, Elliott wave: stage 5. Yikes!" Danger, danger, Will Robinson (have I dated myself?).

The industry was moving lower with 6 stocks up and 11 down compared to 16/1 (up/down) over the prior 2 months and 11/6 over the prior 6 months. My computer screamed at me, "WARNING: THE INDUSTRY IS TRENDING DOWNWARD! You're about to lose money..."

Did I listen? "Buy reason: BARRb, up bkout. That says it all, in an industry that's doing well (9 of 59 [relative strength compared to other industries where 1 is the best performing])."

Fast forward to 17 April 2019. "Sell reason: This just looks like it might return to the Dec 2018 launch price. It's not been a good performer for me, so I'm dumping the dog. Wells Fargo downgraded the stock today (15th), I think. I sold on weakness."

The launch price I'm referring to was the drop to F. That's where the stock started its climb to the double top in February and April (H and H). I didn't want to see the stock return to the price at F, so I sold it at E.

In fact, the stock *did* drop to the launch price and dropped a bit below it, to G.

As bad as the chart looks, I only lost 10%. About a week after I sold (I), the company announced earnings that the market hated. The stock dropped and gapped (exhaustion gap) even lower the next day.

The entry to this trade was perfect. The exit was late. Between the two, the stock made a substantial decline before partially recovering.

If I had a rule that said sell if a buy-and-hold position drops 20%, then my loss would have been double what it was. However, there is a clue to what I did wrong, and it appears at J. Price gapped lower (breakaway gap) after the announcement of earnings.

Often with buy-and-hold positions, you're looking to hold for years, so I ignore earnings results. However, earnings came about a month after I bought and the market didn't like it. That announcement set up a price cascade that saw the stock drop from the high by 29% (to the low at F).